

22NWCV01428 22NWCV01428

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Case Number: 22NWCV01428 Hearing Date: July 30, 2026 Dept: P

MICHELLE BAIK, ET AL. v. KAISER FOUNDATION HOSPITALS, ET AL.

CASE NO.: 22NWCV01428

HEARING: 07/30/2026 @

9:30 AM

#14

TENTATIVE ORDER

Petitioner Michelle Baik's Petition to Approve Minor's

Compromise is CONTINUED to Friday, August 21, 2026 at 9:30 AM to permit

Petitioner to correct deficiencies in the Proposed Order.

Moving party to give notice.

Plaintiff Michelle Baik (Petitioner or Plaintiff) petitions

for approval of minor's compromise with a special needs trust.

Background

On November 28, 2022, Plaintiff filed this action against

Defendants Kaiser Foundation, Kaiser Foundation Health Plan, Inc., Southern

California Permanente Medical Group, and Does 1 through 100, inclusive. The

complaint alleges that on September 1, 2021, Baik engaged Defendants' services

for treatment and care related to her pregnancy. (Complaint, ¶ 9.) The

complaint alleges Defendants “negligently and unlawfully failed to properly and correctly diagnose, render care and treatment, to perform proper surgery on, and prescribe and administer medicine and drugs for the condition of [Baik] and her child” resulting in her child, Kira Kim, being born with hypoxic ischemic encephalopathy. (Complaint, ¶¶ 11-12.) The complaint asserts two causes of action: (1) negligent infliction of emotional distress against all Defendants brought by Baik and (2) negligent infliction of emotional distress brought by Diego Kim.

On June 12, 2025, the Court granted the parties’ stipulation to consolidate this matter with the related civil action, Case No. 23NWCV02091. This action is designated the lead case.

Legal Standard

A Petition for Compromise of Disputed Claim of Minor must conform with Code of Civil Procedure section 372 and Probate Code sections 2504 and 3600 et seq. Such a petition “must be verified by the petitioner and must contain a full disclosure of all information that has any bearing upon the reasonableness of the compromise.” (Cal. Rules of Court, rule 7.950.) Moving papers should include the Petition of Guardian Ad Litem for Compromise of Disputed Claim of Minor (Petition) on Form MC-350 or LA-113 and an Order Approving Compromise of Minor’s Claim (Order) Form MC-351 or LA-108.

Discussion

Petitioner brings a Petition to Approve Compromise as Guardian Ad Litem of Claimant Kira Kim (Claimant), a four-year-old girl. The parties tentatively settled this action for a gross \$8,400,000, with a net of \$5,252,477.98 payable after deduction for fees, costs, and medical expenses. Petitioner states that, by way of settlement, Defendant will pay \$1,000,000 to Petitioner for waiver of wrongful death and negligent infliction of emotional distress claims. (Pet., ¶ 11.)

Petition to Approve Minor’s Compromise

The Petition states that Defendant has offered to settle all of Claimant’s claims for a gross amount of \$8,400,000. (Pet., ¶ 10.)

Considering Claimant's injuries, as well as the permanent nature of her injuries, the settlement amount appears to be reasonable.

Petitioner states that Claimant has \$320,540.50 in medical expenses with reductions in the amount of \$20,540.50, leaving \$300,000 to be paid or reimbursed from the proceeds. (Pet., ¶ 12.) \$78,240.46 was paid by Medi-Cal and MediCal has agreed to accept reimbursement of \$57,699.96. (Pet., ¶ 12.)

The Petition seeks the Court's approval of attorney's fees in the amount of \$2,737,265.27 which is 32.6% of the gross amount of the settlement. (Pet., ¶ 13.) Petitioner's counsel sought 33.33% as stated in the retainer agreement, signed by Petitioner. (Ikuta Decl., Exh. 17a.) Given the amount of work and time spent on this action, the attorney's fees appear to be reasonable. The Petition also seeks the Court's approval of costs of \$105,256.75 as well as the fees to establish a special needs trust, \$5,000.00. Petitioner includes a cost memorandum which lists the costs incurred in prosecuting this case. (Ikuta Decl., Exh. 13b.)

The balance of the proceeds of the proposed settlement remaining for Claimant after payment of all requested fees and expenses is \$5,252,477.98.

Petitioner proposes to fund \$2,752,477.98 as cash into a special needs trust for Claimant's benefit and to use the remaining funds to purchase an annuity that would pay into the trust at:

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Commencing 11/01/2026, \$10,000.00 per month for 15 years, guaranteed; (final guaranteed payment on 10/01/2041). Cost of \$1,286,170 with guaranteed payout of \$1,800,000.

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Commencing 11/01/2041, \$11,988.22 per month for the lifetime of Kira Kim with the first 25 years guaranteed; (final guaranteed payment on 10/01/2066) Cost of \$1,213,830 with a guaranteed payout of \$3,596,466 and expected payout of \$9,646,571.93.

The Court finds the proposed settlement proceeds to Claimant to be reasonable under the circumstances and now turns to Petitioner's proposed special needs trust.

Special
Needs Trust

Notice

When seeking approval of a Special Needs Trust, service must be made upon three state agencies including the Department of Mental Health, Department of Developmental Services, and Department of Health Care Services. (Prob. Code, § 3611, subd. (c).) There is a proof of service at the end of the Petition that reflects compliant service.

Proposed Special Needs Trust Instrument

Petitioner provides the proposed trust instrument at Attachment 18(b)(4). The proposed trust instrument meets the requirements of California Rules of Court, rule 7.903(c) and Los Angeles Superior Court (LASC) rule 4.116(b).

Findings Under Probate Code Section 3604

Probate Code Section 3604, subdivision (b), states the following: "A special needs trust may be established and continued under this section only if the court determines all of the following: [¶] (1) That the minor or person with a disability has a disability that substantially impairs the individual's ability to provide for the individual's own care or custody and constitutes a substantial handicap. [¶] (2) That the minor or person with a disability is likely to have special needs that will not be met without the trust. [¶] That money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the special needs of the minor or person with a disability."

The Court finds that the Petitioner has offered sufficient evidence to support the finding that Claimant is a person with a disability within the meaning of Probate Code Section 3604, subdivision (b), as Claimant was born with hypoxia and has neurological deficits, cannot walk or talk, and has seizures due to the hypoxic injury. Additionally, the Court finds that Petitioner shows that Claimant is likely to have special needs that will not be met without the trust and the money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the Claimant's special needs. The

Life Care Plan estimates future costs of \$22,853,550. (Pet., Exh. A.) Accordingly, the findings under Probate Code section 3604, subdivision (b) are satisfied.

Trustee and Bond

The proposed initial trustee is Shoushan Movsesian. The Petition includes the consent with fee schedule and CV in Attachment 18(b)(4).

Normally, bond must be required of a trustee unless the trustee is a corporate fiduciary/trust company. (Cal. Rules of Court, rule 7.903(c)(5); Prob. Code, §§ 2320, 15602.) The proposed trustee does not meet that requirement and bond is required.

Petitioner requests \$3,149,000 for bond. (Pet., Attach., 18(b)(4).) This amount is approved.

Additional Requests for Relief

Petitioner makes the following additional requests for relief that are beyond those fundamental to the approval and funding of a trust:

1.

Petitioner requests authority for trustee to invest in proprietary funds, mutual funds, and bonds with maturity dates greater than five years to provide for diversification and a higher rate of investment return. (Attach, 18(b)(4).)

2.

Petitioner requests authority to pay \$5,000 to trust specialist counsel, Randolph Sharon, Esq., for tasks relating to the minor's settlement trust including drafting of the trust instrument and related portions of this petition.

The Court finds these requests reasonable and grants both requests.

Proposed Order

There are general trust orders missing from the Proposed Order:

Item 8.b.3 must be completed as there is a Medi-Cal lien and the establishment of a SNT. The Proposed Order does not provide for satisfaction of state liens.

Item 11 should specifically state the bond required, even though it is restated in the attachment.

Trust terms are not included in the order as required (LASC, rule 4.115(c)(2).) Order 8.b.2 makes a cross-reference to Attachment 18(b)(4) of the Petition, but that is improper and the Order itself must include a complete copy of the Trust Terms.

The required Probate Code section 3604, subdivision (b) findings are not made in the Proposed Order.

The Proposed Order does not provide for continuing Court jurisdiction and supervision over the trust.

None of the additional requests for relief are included in the Proposed Order.

Based on the foregoing, the Court continues the hearing on this Petition to allow Petitioner to correct the deficiencies to the Proposed Order.

Accordingly, Petitioner's Petition to Approve Minor's Compromise is CONTINUED to Friday, August 21, 2026 at 9:30 AM to permit Petitioner to correct deficiencies to the Proposed Order.